



“It is quite clear that the impact of the pandemic on the sector is largely over. However, several challenges remain for these enterprises”

Anil Bhardwaj
SECRETARY
GENERAL, FISME



“The sector plays a critical role in job creation, industrial output, and entrepreneurship. However, MSMEs face structural challenges”

Arun Singh
GLOBAL CHIEF ECONOMIST,
DUN & BRADSTREET

92 |

To support MSMEs in navigating legal and regulatory challenges, FISME is working on launching a Center for Improving Access to Justice to provide legal aid.

But this is not all. There are several other obstacles for the sector as well. A recent report by L&T SuFin and Dun & Bradstreet had listed them out as access to finance and market, technological limitations, compliance and regulatory challenges, skilled workforce shortage, unfavourable external conditions and a lack of awareness. “India requires \$11.6 trillion investments to scale up 13.4 million MSMEs,” the report titled Micro to Mighty—Outlining Strategic Priorities for MSMEs to Scale Up, had noted.

POLICY SUPPORT

The Indian government has supported MSMEs through various

schemes. As of March 31, 2024, outstanding credit to MSMEs from banks and non-banking financial companies (NBFCs) reached ₹31.7 lakh crore, up from ₹18.48 lakh crore in 2020, according to government data.

In the Union Budget 2025-26, Finance Minister Nirmala Sitharaman introduced key measures aimed at enhancing credit access, business ease, and capacity building. To help businesses expand and improve efficiency, the investment and turnover limits for MSME classification have been raised. The credit guarantee cover for micro and small enterprises has been doubled to ₹10 crore, unlocking an additional ₹1.5 lakh crore in credit over five years.

Raghunathan presents a contrarian view and says the government has been “unintentionally clueless”

about the true needs of micro enterprises. “When entrepreneurs required oxygen, vitamin was given instead. Initiatives for technology upgradation, skilling of entrepreneurs and credit guarantee should have happened at least four to five years ago to enable MSMEs to be more competitive now,” he says.

ROAD AHEAD

Singh says that while the Union Budget provides significant support for MSMEs, addressing credit bottlenecks, improving payment discipline, enabling technology adoption, and expanding global market access will be crucial for MSMEs to achieve sustainable growth. “However, policy effectiveness will hinge on execution and enforcement,” he says.

Some areas also require more attention, which include improving credit access and risk management, enforcing timely payments, driving technology and digital adoption, simplifying regulatory compliance, strengthening export competitiveness, infrastructure and market connectivity and workforce development and skilling initiatives, he notes.

State-level execution of policies is also a crucial factor. States too need to pick up the baton. Several legislations, including those relating to labour and factories are in the concurrent list, and states remain the implementing agencies for several regulations and laws.

As India looks to revert to a high growth trajectory, unlocking the true potential of MSMEs could drive a new phase of economic growth, benefiting not only the businesses themselves but also the broader economy. **BT**

@surabhi_prasad